

ful to break it into two parts. Part one is a tax. Part two is a welfare and retirement program. As we'll see later, the amount of your retirement benefits bears some small relation to the tax you've paid in. But it's far more helpful to view the two parts—taxes and benefits—as independent.

Part one is taxes. If you're self-employed and made \$43,800 or more in 1987, you paid \$5,387 in Social Security taxes. If you're an employee and made \$43,800 or more, you paid \$6,263 in Social Security taxes. Part of that \$6,263 came out of your paycheck. The other part went directly from your employer to the IRS. For that part your employer avoids the bother of running the amount through your paycheck. But don't kid yourself. Your employer looks at total cost, including salary, taxes, and benefits, when he figures what you take out of the company. To justify your job, you have to "earn" both the employer and employee portions of the tax, regardless of bookkeeping tricks meant to conceal the fact.

If you and your spouse each earned \$43,800 in 1987, the employer and employee combined to pay \$12,500 in Social Security tax. Not only is \$12,500 a huge amount in most budgets, the tax itself is horribly unjust. The Social Security tax is a regressive tax. It falls most heavily on the poor. Historians tell us that, in eighteenth-century France, only the poorest 20 percent of the peasants paid tax. The wealthy got exemptions of some sort, just as those making over \$43,800 in 1987 were exempt from further Social Security tax. The French tax system ended with the French Revolution. In the United States today the tax system is less skewed than in eighteenth-century France. But with respect to Social Security taxes, the poor and middle class pay a higher percentage of their income than do the wealthy.

So why do Americans put up with a regressive tax? It's probably because we feel we're getting something for our money. That we're "contributing" to our own retirement. That we all benefit "equally" and we all should pay.

But what we pay is *not* a contribution, it's a tax. That tax